INTRODUCTION

Earlier lessons described markets for financial assets related to equities, fixed income, currencies, and commodities. These markets are known as **cash markets** or **spot markets** in which specific assets are exchanged at current prices referred to as **cash prices** or **spot prices**. Derivatives involve the future exchange of cash flows whose value is derived from or based on an underlying value. The following lessons define and describe features of derivative instruments and derivative markets.

Category
Derivative Instrument and Derivative Market Features

Learning Module Overview

- A derivative is a financial contract that derives its value from the performance of an underlying asset, which may represent a firm commitment or a contingent claim.
- Derivative markets expand the set of opportunities available to market participants beyond the cash market to create or modify exposure to an underlying.
- The most common derivative underlyings include equities, fixed income and interest rates, currencies, commodities, and credit.
- Over-the-counter (OTC) derivative markets involve the initiation of customized, flexible contracts between derivatives end users and financial intermediaries.
- Exchange-traded derivatives (ETDs) are standardized contracts traded on an organized exchange, which requires collateral on deposit to protect against counterparty default.
- For derivatives that are centrally cleared, a central counterparty (CCP) assumes the counterparty credit risk of the derivative counterparties and provides clearing and settlement services.

Learning Module Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

1. Which of the following statements does **not** provide an argument for using a derivative instrument?

   A. Issuers may offset the financial market exposure associated with a commercial transaction.
   B. Derivatives typically have lower transaction costs than transacting directly in the underlying.
   C. Large exposures to an underlying can be created with derivatives for a similar cash outlay.

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   Solution:

   C is correct. Derivative contracts create an exposure to the underlying with a small cash outlay, so this is the statement that does not provide an argument for using a derivative instrument. Statements A and B are statements that are valid arguments for using derivatives.

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on a(n) _____.

A. Underlying
B. Option
C. Hedge

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Solution:

A is correct. Market participants use derivative agreements to exchange cash flows in the future based on an *underlying*. B is incorrect because *option* refers to a specific derivative contract type. C is incorrect because *hedge* refers to a specific purpose of using a derivative contract.

3. Which of the following is a significant difference between exchange-traded derivative (ETD) and over the counter (OTC) derivative contracts?

A. ETDs create counterparty credit risk for derivative users, while OTC derivatives do not.
B. ETDs are standardized contracts, while OTC derivatives are customized.
C. ETDs have higher transaction costs compared to OTC derivatives.

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Solution:

B is correct. Exchanges standardize contracts to facilitate trading volume. However, users often require specific customized features, and the OTC market can accommodate these needs. A is incorrect because exchanges bear the counterparty credit risk of derivatives. C is incorrect because ETDs have lower transaction costs compared to OTC derivatives.

4. If a corporate issuer enters into a centrally cleared OTC derivative contract, which of the following risks is likely of most concern to the issuer and other participants in this market?

A. Interest rate risk
B. Counterparty credit risk
C. Systemic risk

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Solution:

C is correct. Because all the credit risk is taken on by the CCP, all participants in this market are most concerned that the CCP is able to satisfy its obligations to all contracts. A is incorrect because interest rate risk is an underlying risk that can be hedged or managed with certain OTC derivative contracts. B is incorrect because the CCP assumes the credit risk from all parties to the contracts.

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